

Shriram Finance Ltd

Investment Rating : Weak

Company Overview

Website	https://www.shriramfinance.in/
Sector	nan
Market Cap	868,933.47 Cr
PE Ratio	68.53
PB Ratio	7.91
Dividend Yield	1.86 %

Financial Quality

ROE	15.9
ROCE	11.3
CFO Quality	Accrual Risk
FCF CAGR	nan%
Capital Pattern	Aggressive

Capital Allocation

Capital Score	50.0
Reinvestment	Low Reinvestment
Debt Trend	Increasing Debt
Leverage	Very High

Business Overview

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Shriram Transport Finance Company Ltd is a part of the SHRIRAM Group conglomerate which has a significant presence in the financing business. STFC is engaged in t

Strengths

Revenue growing above 15% CAGR over 5 years reflects strong business momentum.
Operating profit margin above 25% indicates strong pricing power and cost discipline.
Net profit compounding above 20% over 5 years creates significant shareholder value.
Return on equity improving for 3 consecutive years shows strengthening business quality.
Revenue growing slower than profits shows improving operating leverage and scale benefits.

Risks

Debt-to-equity ratio of 3.99 is elevated for a non-financial company and warrants monitoring.
Free cash flow negative for 3 consecutive years raises concern about cash generation quality.
Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations.
Rising debt over the past 3 years suggests increasing financial leverage risk.
Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital.